

ASML

Why ASML Is Our Top Pick: Three Key Drivers

Most Attractive Risk/Reward in the Sector

We update our model following recent market dynamic, upgrading our 2027/28E EPS by 9%/20% (15-20% above cons) and therefore raising our price target to €1,900/share. This reflects increased conviction in a tightening industry environment, driving a more prolonged investment cycle extending into 2028. With SOXX up 65% YTD and the global SPIE average at 50-70%, we see ASML (c+35%) as one name still offering attractive risk/reward in Europe semis, and we reinstate it as our top sector pick. Our thesis is supported by three key drivers:

1. Lithography bottleneck concerns appear overstated

Capacity concerns have come into focus, with fears ASML could constrain semiconductor supply, but we see these as overstated. **Our analysis suggests ASML's 2027 capacity can support >50% y/y growth in leading-edge wafer output (logic & memory) vs ~25-30% demand**, with ~20% of this uplift driven by underappreciated throughput gains from Low NA. While productivity gains may modestly dilute litho intensity as other process steps (deposition, etch) struggle to keep pace, **we do not expect ASML to act as a bottleneck in the next 12/18 months**.

2. If we like memory over the next 1-2 years, we should like ASML (more)

Supported by a constructive memory outlook over the next two years ([here](#)), the supply chain is positioned to benefit—particularly participants with exposure to rising WFE intensity—as node shrinks drive ~30% higher dies per wafer (1b to 1c), increased lithography intensity, and an additional 1-2 EUV layers at 1d ('27/28E). **ASML is the most memory-exposed semi-cap name (~30-35% of revenues by 2026 vs. ~25-30% peers)**, reflected in stronger growth (23% memory CAGR 2020-25 vs. ~6%) and rising litho intensity (11% in 2020 to ~15% in 2025 and ~15-20% by '27/28E).

3. High NA story is not over yet - benefits too big to ignore

Despite some delay in TSMC adoption vs. our initial expectations ([here](#)), we still see High NA being adopted within 2-3 years. The value proposition remains strong: (1) 20-40% cost savings on critical layers vs. double/triple patterning and process simplification, and (2) meaningful capacity unlock by replacing low-throughput multi-patterning steps (e.g., ALD ~30 wph). **Our analysis suggests High NA can deliver >100% throughput gains vs. most alternatives, reinforcing its long-term adoption case.**

Valuation: DCF- based PT increases to €1,900 from €1,600 driven by EPS

We raise EPS by 9%/20% in 2027E/28E (15-20% above cons) to reflect a more sustained memory upcycle and continued strength in advanced logic, and therefore raising our price target to €1,900/share. On our estimates, ASML trades at 26x/21x 2027/28E P/E vs. a 12 month forward average of 30x, despite ~20% EPS CAGR (2026-30E), and at just a ~6% premium vs. a 10 year average of ~84% vs US peers.

Highlights (€m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	27,559	28,263	32,667	39,883	51,984	60,263	62,167	67,691
EBIT (UBS)	9,082	9,063	11,342	15,419	21,743	26,503	27,789	30,785
Net earnings (UBS)	7,681	7,395	9,426	13,027	18,365	22,363	23,444	25,960
EPS (UBS, diluted) (€)	19.49	18.79	24.24	33.92	48.42	59.73	63.46	71.50
DPS (net) (€)	6.10	6.40	7.50	9.97	9.41	11.65	13.48	15.43
Net (debt) / cash	(3,220)	2,680	6,631	6,937	28,340	45,723	50,607	72,161
Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	33.0	32.1	34.7	38.7	41.8	44.0	44.7	45.5
ROIC (EBIT) %	71.9	60.5	90.7	118.6	230.6	>500	>500	>500
EV/EBITDA (UBS core) x	24.4	30.5	22.1	29.4	20.3	15.9	14.5	12.4
P/E (UBS, diluted) x	31.4	42.5	29.9	36.8	25.8	20.9	19.7	17.5
Equity FCF (UBS) yield %	1.4	3.0	4.0	1.9	6.3	5.6	3.3	7.0
Dividend yield (net) %	1.0	0.8	1.0	0.8	0.8	0.9	1.1	1.2

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of €1,249.00 on 19-May-2026 19:06:20 CEST

Equities

Netherlands
Semiconductors

12-month rating **Buy**

12m price target **€1,900.00**
Prior : €1,600

Price (19 May 2026) **€1,249**

RIC: ASML.AS BBG: ASML NA

Trading data and key metrics

52-wk range	€1,367.00-592.90
Market cap.	€485b/US\$563b
Shares o/s	389m (ORD)
Free float	100%
Avg. daily volume ('000)	734
Avg. daily value (m)	€889.7
Common s/h equity (12/26E)	€25.0b
P/BV (12/26E)	19.2x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (EUR)

	From	To	% ch	Cons.
12/26E	34.25	33.92	-1	31.35
12/27E	44.75	48.42	8	41.65
12/28E	49.97	59.73	20	47.57

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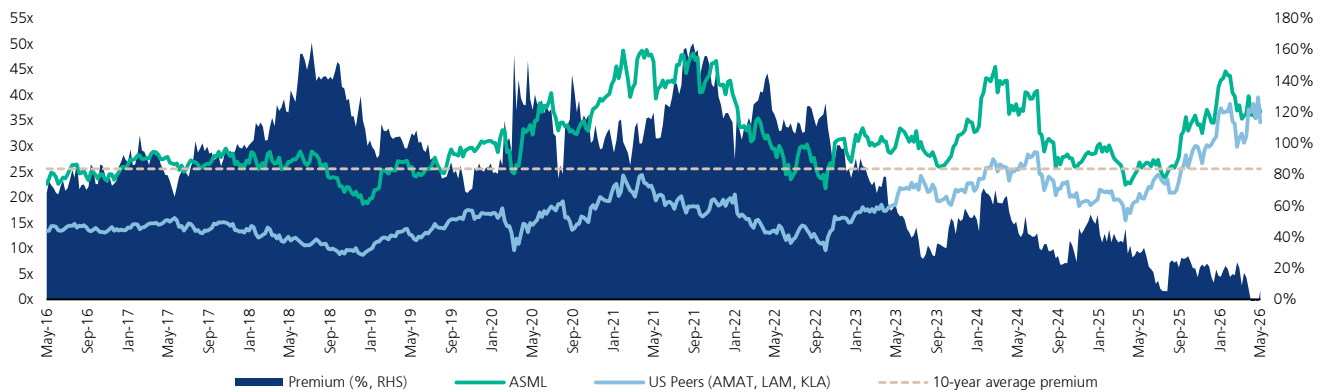
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THREE REASONS TO BUY ASML

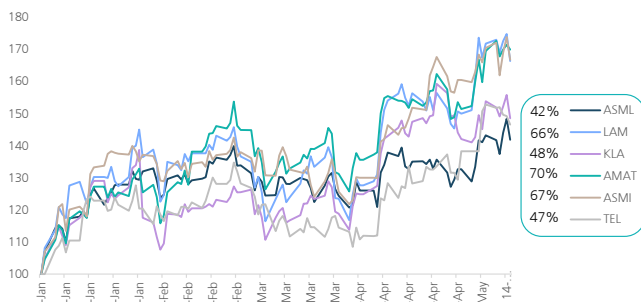
In a context of a lagging performance as seen below, we address three important reasons as to why ASML becomes again our top pick: 1) Capacity remains above demand; 2) Memory litho share keeps increasing and 3) High NA story is not over yet. We also see the catalyst path ahead [Five Key Catalysts Over the Next 12 Months](#)

Figure 1: ASML premium (12-month forward P/E) vs. US large cap peers - ASML is trading at a 6% premium vs US peers vs 84% 10Y average



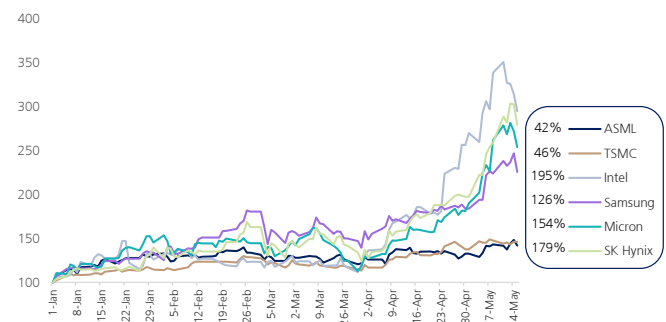
Source: UBS, Datastream

Figure 2: ASML vs Peers YTD share price (100 base) - ASML is the worst performer YTD vs peers



Source: Datastream, UBS

Figure 3: but also vs customers



Source: Datastream, UBS

Forecast changes

We revise our projections, primarily reflecting stronger revenue growth in memory and advanced logic, which influences EUV as well as DUV, excluding China. We now anticipate EUV revenues to grow 37% YoY and 10% YoY in 2027/2028E compared to prior estimates of 26% and -1%, respectively. Consequently, we also expect DUV revenue growth of 28% and 24% YoY versus earlier forecasts of 16% and 17% YoY.

Here are the main changes by end market:

Memory (38% of product sales in 2026E): We now project +35% YoY/+10% YoY growth in 2027/2028E, revised upward from the previous estimate of +35%/-10%, as we anticipate the memory cycle will likely extend through 2028E given the prevailing constraints. Additionally, we expect the 1d ramp-up in 2027/2028 to be more lithography-intensive.

Foundry/Logic (62% of product sales in 2026E): We now forecast growth of +34% YoY in 2027E and +18% YoY in 2028E, revised upward from our prior estimates of +16% and +17%, respectively. This adjustment is primarily attributed to improvements in Intel and Samsung foundry operations, as well as increased investment in 2028E driven by TSMC capacity constraints anticipated in 2027.



Value drivers	Product Sales '27E	Service Sales '27E	EBIT margin adj. '27E	EPS '27E	P/E '27E
€2,216 upside	€46.2bn	€12.0bn	43.5%	€55.8	39.7x
€1,900 base case	€40.9bn	€11.1bn	41.8%	€48.4	39.2x
€767 downside	€34.2bn	€10.0bn	39.0%	€38.0	20.2x

Source: UBS estimates

Figure 4: We look at 2027 scenarios with an upside of €56 EPS vs UBSe €48/share and cons €42/share

Scenario Variable					2026		2027			
					UBSe	Cons	Downside	Upside	UBSe	Cons
ASML Scenario	2022	2023	2024	2025						
Dry*	239	282	219	134	156	192	170	190	174	210
ArF Immersion*	79	116	122	119	121	123	150	170	150	131
DUV	318	398	341	253	277	315	320	360	324	341
EUV 0.33 NA	40	53	42	44	65	62	75	100	84	80
EUV 0.50 NA (High-NA)	0	0	2	4	5	5	5	7	6	7
Total units	358	451	385	301	347	381	400	467	414	427
DUV revenues					12,427	12,324	14,235	16,936	15,919	13,574
y-o-y							15%	36%	28%	10%
EUV revenues					17,320	16,481	19,000	27,800	23,652	22,320
y-o-y							10%	61%	37%	35%
metrology & inspection					726	734	1,000	1,500	1,290	995
Systems Revenue	15,430	21,939	21,769	24,474	30,473	29,539	34,235	46,236	40,861	36,648
Service Revenue	5,743	5,620	6,494	8,193	9,410	9,838	10,000	12,000	11,123	10,904
Total Revenues (ASML)	21,173	27,559	28,263	32,667	39,883	39,396	44,235	58,236	51,984	47,639
y-o-y					22%	21%	11%	46%	30%	21%
Gross margin %	50.5%	51.3%	51.3%	52.8%	53.8%	52.5%	53.0%	55.0%	54.2%	53.9%
R&D (€m)	3,254	3,981	4,304	4,699	4,862	4,989	5,000	5,300	5,224	5,476
R&D % of sales	15.4%	14.4%	15.2%	14.4%	12.2%	12.7%	11.3%	9.1%	10.0%	11.5%
SG&A (€m)	946	1,113	1,166	1,258	1,202	1,287	1,200	1,400	1,262	1,394
SG&A % of sales	4.5%	4.0%	4.1%	3.9%	3.0%	3.3%	2.7%	2.4%	2.4%	2.9%
EBIT margin %	30.7%	32.8%	31.9%	34.6%	38.6%	36.5%	39.0%	43.5%	41.7%	39.5%
EBIT (€m)	6,501	9,042	9,023	11,302	15,379	14,373	17,245	25,330	21,703	18,831
Net income (€m)	5,624	7,839	7,572	9,609	13,068	12,331	14,399	21,150	18,291	16,029
EPS (€)	13.90	19.49	18.79	24.24	33.9	32.1	38.0	55.8	48.4	42.2
y-o-y							29%	42%		
Current price:										
1200										
P/E					35	37	32	22	25	28
Assumptions										
Litho intensity assumptions	26%	30%	26%	27%	28%		27%	29%	28%	
WFE intensity	16%	17%	16%	15%	12%		11%	11%	12%	
Output										
WFE implied (\$bn)	94	86	98	112	142		163	205	190	
y-o-y		-9%	13%	15%	33%		15%	45%	34%	
Semis revs (\$bn)	574	521	603	726	1,223		1,484	1,865	1,555	
y-o-y		-9%	16%	20%	77%		21%	53%	27%	

Source: Visible Alpha, UBSe

1) We see potential ASML capacity still meaningfully higher than demand.

Conclusion: In light of the recent focus on production capabilities and prevailing concerns that ASML might emerge as a bottleneck in the supply chain, we present an evaluation of how their capacity could influence supply-demand dynamics. A critical factor **we believe the market has largely overlooked is the enhanced throughput across various low NA models, coupled with the potential for system upgrades and shorter cycle times enabled by "fast" shipments.** Although ASML has communicated a capacity of over 80 EUV units in 2027, our analysis suggests their actual theoretical maximum capacity could exceed 100 units, excluding additional contributions from fast shipments. Based on our estimates, production of 100 EUV units at present would represent approximately a 65% YoY increase in leading-edge capacity, compared to projected demand growth of around 25-30% YoY in 2027. Conversely, production of 85 tools would indicate roughly a 34% YoY increase, still exceeding demand expectations, as we believe extended lithography lead times may drive prebuilding efforts targeting 2028. **Nonetheless, we believe ASML's enhancements in productivity come with a marginal trade-off in litho intensity, as other equipment categories, such as deposition and etching, face challenges in keeping pace with this roadmap. Consequently, lithography-related expenditures are rising at a slower rate compared to other segments.**

Evidence: wafer per month roadmap showing significant productivity improvement.

Figure 5: Incremental capacity 2027 (kwpm y/y) vs 2026 based on different shipments - We estimate ASML capacity to be well above demand



Source: UBSe, Company data

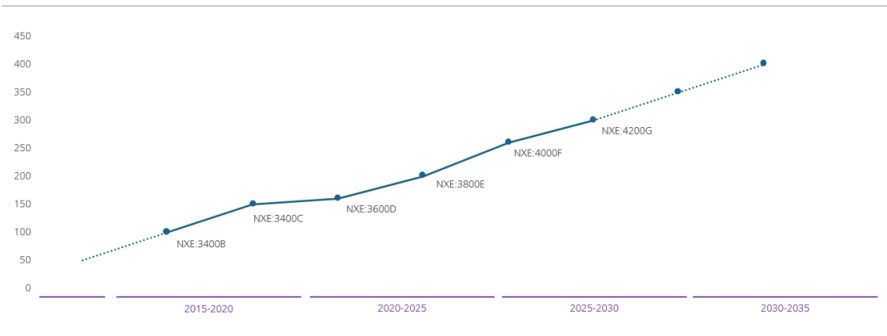
Given the recent emphasis on production capacity and widespread concerns that ASML could become a limiting factor in the supply chain, we provide an analysis of how their capacity might impact supply and demand dynamics. One key aspect we believe the market has overlooked is the increase in throughput across various low NA models, along with the potential for system upgrades and reduced cycle times through expedited shipments. While ASML has indicated a capacity of 80+ EUV units in 2027E, we estimate their effective theoretical capacity could approach 100+ units.

In 2021, ASML communicated a capacity of 90 low NA EUV units, which we believe was based on a throughput of approximately 220 wafers per hour (wph). By 2027/28, this throughput could reach 260 wph with the F model. Adjusting for this improved throughput, the previously stated 90 EUV units would be equivalent to 100-105 units under current conditions. In 2026, shipments will still include some 3600D models, while the remainder will consist of 3800E systems. The 3800F model is slated to begin shipping in 2027, with production volumes increasing further in 2028.

In DRAM, the 3800F model offers an 87% throughput improvement compared to the 3600D, which will help mitigate the impact of significant capacity expansions in the sector. In the logic segment, the throughput increase is more modest, with the 3800F

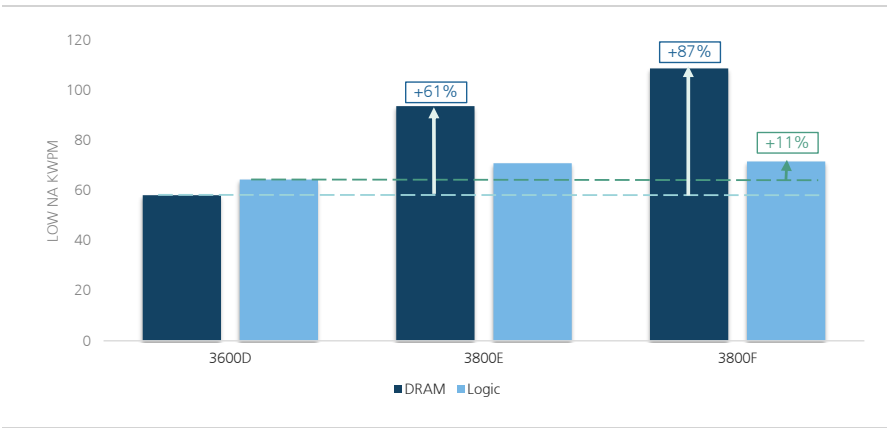
delivering an 11% gain over the 3600D.

Figure 6: EUV wafer per hour roadmap showing a strong improvement over time which also leads to higher average selling price



Source: UBS, Company data

Figure 7: Low NA models throughput increases for DRAM and Logic



Source: UBSe, Company data

Based on our bottom up models of advanced logic/DRAM incremental capacity added as well as low NA layers, we calculate incremental EUV wafers out until 2028. This comes to +69% yoy in 2026 and 20% yoy in 2027. This is based on 10% growth in incremental capacity in DRAM in 2026 (289kwpm added) and a 32% increase in 2027 (382kwpm added). In Foundry/logic we assume a 59% growth in incremental capacity in 2026 (159kwpm added) and 31% in 2027 (208kwpm added).

Figure 8: Effective total incremental low NA wafers out from advanced logic and DRAM

Incremental capacity (kwpm)							Low NA layers							
F/L			2025	2026	2027	2028	F/L			2025	2026	2027	2028	
	TSMC	N3E	20	50	20	10	TSMC	N3E	20	20	20	20		
		N2	40	50	50	20		N2	21	21	21	21		
		A14	0	0	40	60		A14	23	23	23	23		
	Intel	Intel 4+3	30	20	25	0	Intel	Intel 4+3	15	15	15	15		
		20A +18A	7	27	38	10		20A +18A	21	21	21	21		
		14A	0	0	10	10		14A	21	21	21	21		
	Samsung	3GAP	0	5	5	0	Samsung	3GAP	20	20	20	20		
		2GAP	3	7	10	10		2GAP	26	26	26	26		
		1GAP	0	0	10	10		1GAP	28	28	28	28		
	Total		100	159	208	130								
yoy			59%	31%	-38%									
DRAM	SK Hynix	1anm	65	-35	-18	-51	DRAM	SK Hynix	1anm	1	1	1	1	
		1bnm	73	29	-7	-67			1bnm	4	4	4	4	
		1cnm	5	103	137	42			1cnm	6	6	6	6	
		1dnm	0	0	20	117			1dnm	8	8	8	8	
		12nm	-62	-141	10	-51			12nm	1	1	1	1	
	Samsung	1anm	125	-41	-130	-47	Samsung	1anm	5	5	5	5		
		1bnm	36	106	-7	-17		1bnm	5	5	5	5		
		1cnm	0	138	154	25		1cnm	6	6	6	6		
		1dnm	0	0	22	133		1dnm	8	8	8	8		
		12nm	20	130	150	-50		12nm	3	3	3	3		
	Micron	1cnm	20	130	150	-50	Micron	1cnm	1	1	1	1		
		1dnm	0	0	50	70		1dnm						
		Total		262	289	382		104						
	yoy			10%	32%	-73%								
	Effective total incremental EUV wafers out (kwpm)													
F/L			2025	2026	2027	2028								
	TSMC		1240	2050	2370	2000								
	Intel		597	867	1383	420								
	Samsung		78	282	640	540								
	Total		1915	3199	4393	2960								
yoy				67%	37%	-33%								
DRAM	SK Hynix		390	696	936	872								
	Samsung		743	1013	425	843								
	Micron		20	130	300	160								
	Total		1153	1839	1661	1875								
				59%	-10%	13%								

Source: UBSe,

Based on these estimates we look at low NA unit oversupply/undersupply scenarios for different low NA capacity targets in 2026/2027 and models. For 2026 the company target is 60 low NA tools, whereas for 2027 it will be 80. Based on 100% shipment of E model, ASML will undersupply the market by 6 low NA tools in 2026 and be inline with supply in 2027.

Figure 9: 2026 supply/demand scenario

		Low NA capacity				
		50	60	70	80	90
3600D		-31	-21	-11	-1	9
3800E		-15	-5	5	15	25
		undersupply		company target		

Source: UBSe, Company data

Figure 10: 2027 supply/demand scenario

		Low NA capacity					
		50	60	70	80	90	100
3600D		-47	-37	-27	-17	-7	3
3800E		-30	-20	-10	0	10	20
3800F		-27	-17	-7	3	13	23
		undersupply					

Source: UBSe, Company data

We also look at incremental capacity that could be unlocked in 2027 based on different mixes of E vs F (based on our unit shipment estimates - 65 in 2026 and 84 in 2027). Our base case is 20% of F and 80% of E model in 2027 which would come to 39% incremental capacity vs 2026. 2026 capacity numbers are based on 20% D and 80% E mix.

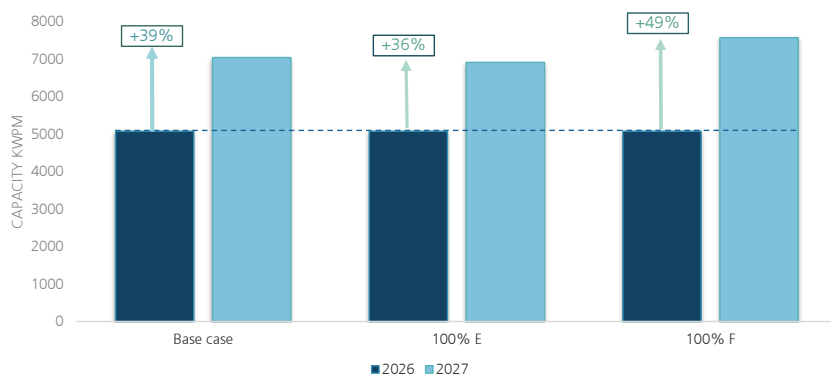
Figure 11: Incremental capacity 2027 vs 2026

3800E mix	90%	80%	70%	60%	50%
3800F mix	10%	20%	30%	40%	50%
Incremental capacity (2027 vs 2026)	37%	39%	40%	41%	43%
					Base case

Source: UBSe, Company data

Again taking our unit shipment estimates we look at incremental capacity for our base case (80% E and 20% F) and then if it was 100% E and 100% F in 2027.

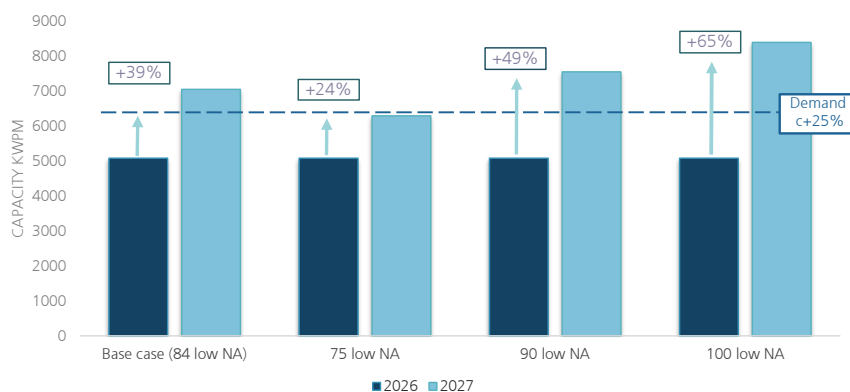
Figure 12: Incremental capacity 2027 vs 2026 based on different mixes



Source: UBSe, Company data

Then flexing our 2027 unit assumptions and keeping a fixed mix (base case above) we look at incremental capacity for a downside and upside unit scenario below.

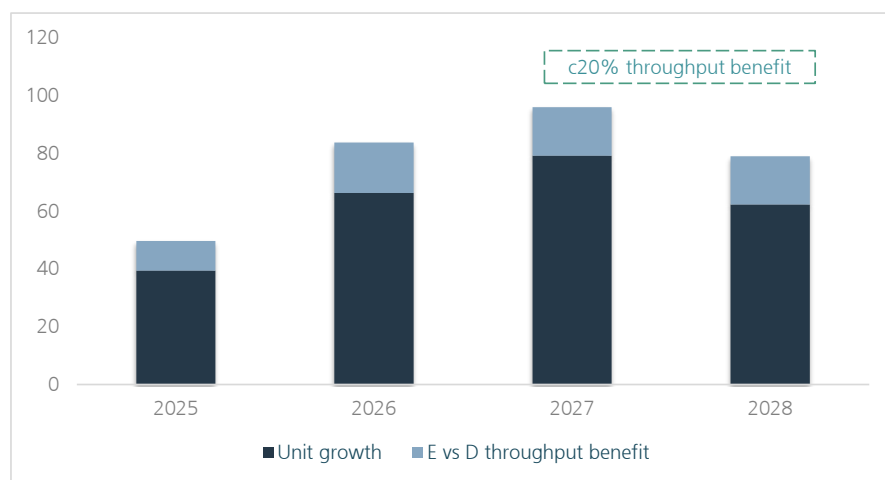
Figure 13: Incremental capacity 2027 (kwpm y/y) vs 2026 based on different shipments



Source: UBSe, Company data

Generally the required demand can be split between unit growth and throughput benefit as one shifts from D to E. Largely ASML can get a 20% uplift in capacity shifting from the E to D model which we plot below over the next few years.

Figure 14: Unit growth vs throughput benefit from E to D



Source: UBSe, Company data

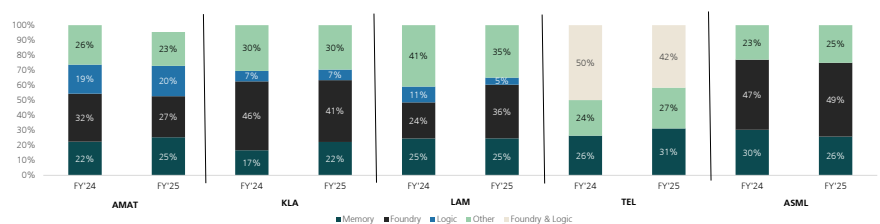
2) ASML remains a key memory play not priced for it

Conclusion: With a constructive memory outlook over the next 2 years ([here](#)), the supply chain should benefit—especially players leveraged to rising WFE intensity—as customers drive node shrinks to boost dies per wafer (~30% uplift from 1b to 1c), supporting higher lithography intensity, with EUV layers set to increase by 1–2 at 1d ('27/28E). As a result, **ASML is now the most memory exposed semi cap name, particularly to DRAM, with ~30–35% of revs by 2026 (vs. ~25–30% for US peers), reflected in stronger growth (23% memory revs CAGR 2020–25 vs. ~6% peers) and rising litho intensity (litho/WFE from 11% in 2020 to ~15% in 2025 and ~15–20% by '27/28E).**

Evidence: EUV layer roadmap by node and ASML memory reported vs peers in the last 5 years, Micron public comments suggesting further EUV layer increase.

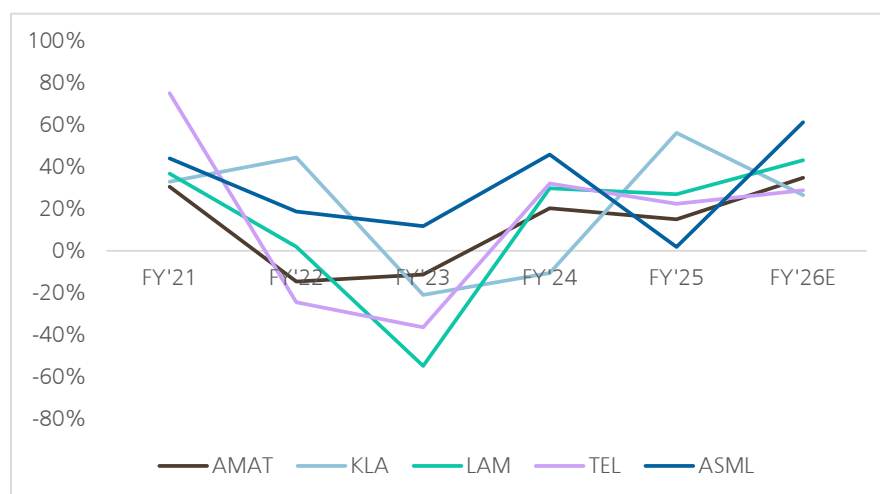
ASML has evolved over the years into a pivotal player in the memory sector, as evidenced below. We project that by 2026, ASML is likely to surpass its competitors once again, driven by the growing integration of EUV layers and an emphasis on DRAM production capacity. Notably, we believe that shrink remains a critical priority for memory manufacturers, as it facilitates fitting more dies per wafer (e.g., 30% more for 1c compared to 1b), thereby enabling significant capacity expansion through technological migration, particularly given constraints in cleanroom space. For instance, Micron highlighted during its most recent earnings call on March 16: *"We plan to increase EUV adoption at the 1-delta DRAM node utilizing the latest-generation EUV tools. These more advanced EUV tools will help us optimize both cleanroom space efficiency and patterning when scaling to 1-delta and beyond."*

Figure 15: We note that ASML is the most exposed to memory with TEL in the last two years



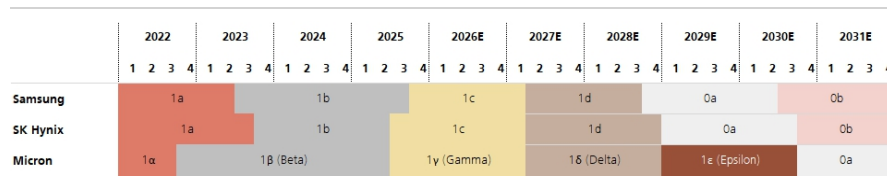
Source: UBS, Company data

Figure 16: driven by a higher memory revenue growth than peers due to increased EUV layers and shrink



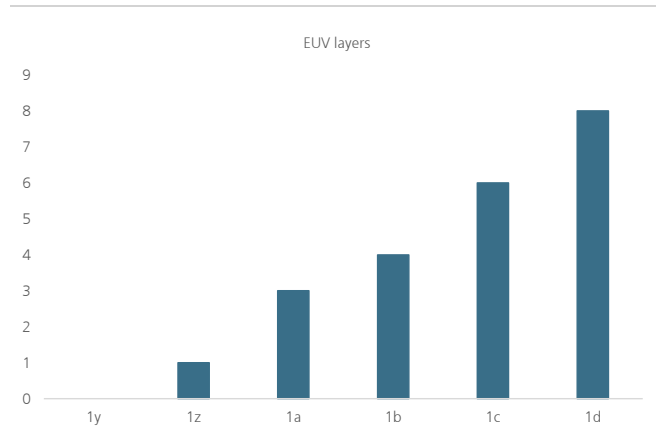
Source: UBS, Company data

Figure 17: Memory roadmap by players shows strong technological migration with shrink



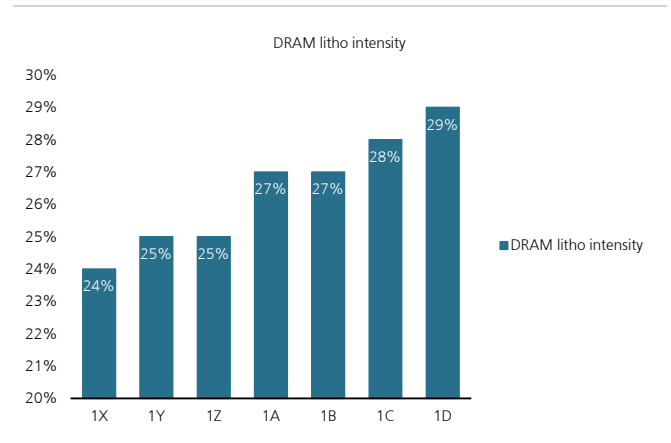
Source: UBS, Company data

Figure 18: EUV layers per node increasing....



Source: UBS, company data

Figure 19: ...leading to higher litho intensity for DRAM



Source: UBS, company data

Figure 20: As a result, we expect strong demand of EUV especially in memory

0.33 NA tools	2015	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Logic																
TSMC	1	1	3	10	15	15	20	22	19	13	20	29	37	36	34	37
Samsung Foundry	1	1	1	2	4	9	11	14	4	2	2	3	3	3	3	3
Intel	2	2	2	3	3	2	2	9	7	8	5	5	8	10	10	10
GF			1													
Others			1	1	2		1			1	2	3	2	0	0	0
DRAM																
Samsung		1		1	1	4	7	5	6	6	5	11	14	13	12	12
SK Hynix				1	1	1	1	3	4	10	8	11	17	16	15	13
Micron		1		1			1	1	2	2	2	3	3	5	5	5
Total shipments	4	6	8	19	26	31	43	54	42	42	44	65	84	83	79	80

Source: UBS, company estimates

Figure 21: DRAM EUV bottom up by customer- Samsung

DRAM - bottom-up	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
DRAM low NA EUV tool output in k wpm (shipments)		34	43	51	55	58	74	90	92	94	101	109	126	143
DRAM high NA EUV tool output in k wpm (shipments)										52	54	57	58	60
Samsung - DRAM (output)														
- 25nm	13	25	5											
- 20nm	225	125	142	110	80	73	0	0	0	0	0	0	0	
- 1xnm	194	325	203	204	186	145	91	59	0	0	0	0	0	
- 1ynm		25	152	193	213	181	91	79	54	7	0	0	0	
- 1znm			5	44	180	290	213	244	182	41	51	0	0	
- 1anm					7	36	133	178	303	262	132	85	47	16
- 1bnm							5	99	135	241	234	217	172	112
- 1cnm								0	0	138	292	317	290	240
- 1dnm										0	22	155	235	296
- 0anm													39	136
Total wafer output (k wpm)	432	500	507	550	665	726	534	659	674	689	731	774	783	800
% y-o-y	4.0%	15.6%	1.5%	8.5%	20.9%	9.1%	-26.5%	23.5%	2.2%	2.3%	6.1%	5.9%	1.2%	2.2%
Samsung low NA EUV exposures														
- 1znm					1	1	1	1	1	1	1	1	1	1
- 1anm						5	5	5	5	5	5	5	5	5
- 1bnm									5	5	5	5	5	5
- 1cnm									6	6	6	6	6	6
- 1dnm											8	8	8	8
- 0anm													8	8
Samsung low NA EUV (needed)														
- 1znm					3	6	4	5	4	1	1	0	0	0
- 1anm					0	3	11	15	26	23	11	7	4	1
- 1bnm					0	0	0	0	8	13	13	12	10	6
- 1cnm					0	0	0	0	0	9	19	20	19	15
- 1dnm									0	2	11	17	22	15
- 0anm													3	10
low NA tools installed				0	3	9	16	20	37	46	46	51	52	55
net tools					3	5	7	4	17	9	0	5	1	2
Samsung high NA EUV exposures														
- 1znm														
- 1anm														
- 1bnm														
- 1cnm														
- 1dnm												1	1	1
- 0anm													2	2
Samsung high NA EUV (needed)														
- 1znm														
- 1anm														
- 1bnm														
- 1cnm														
- 1dnm											0	3	5	6
- 0anm													1	5
high NA installed											0	3	6	10
net tools											0	3	3	4
EUV Capacity required (kwpn)				191	497	1,004	1,401	2,966	3,762	3,773	4,529	4,851	5,460	
EUV Capacity installed (kwpn)		43	94	313	720	1,089	1,626	2,175	2,696	3,808	5,385	7,079	8,915	9,631
Samsung - low NA DRAM tool shipments		1	1	4	7	5	6	6	5	11	14	13	12	12
Samsung -high NA DRAM tool shipments								0	1	0	1	1	2	2

Source: UBS, company estimates

Figure 22: DRAM EUV bottom up by customer- SK Hynix

SK Hynix - DRAM (output)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
- 25nm	100	74	24	4	0	0	0	0	0	0	0			
- 20nm	203	177	104	61	8	0	0	0	0	0	0			
- 1xnm	9	103	191	190	96	46	20	0	0	0	0	0	0	
- 1ynm	0	0	28	97	212	121	81	45	11	0	0	0	0	
- 1znm				7	65	187	149	135	120	90	19	0	0	0
- 1anm					4	62	88	180	245	210	192	141	80	0
- 1bnm									163	192	185	119	45	40
- 1cnm							0	90						
- 1dnm									5	108	245	287	251	206
- 0anm											20	137	264	332
Total wafer output (k wpm)	313	354	348	359	385	417	339	450	544	600	662	684	661	677
% y-o-y	6.1%	13.1%	-1.7%	3.3%	7.2%	8.2%	-18.7%	32.8%	20.9%	10.3%	10.3%	3.3%	-3.4%	2.5%
SK Hynix low NA EUV exposures														
- 1znm														
- 1anm							1	1	1	1	1	1	1	1
- 1bnm								4	4	4	4	4	4	4
- 1cnm										6	6	6	6	6
- 1dnm											8	8	8	8
- 0anm													8	8
SK Hynix low NA EUV tool required														
- 1znm				0	0	0	0	0	0	0	0	0	0	0
- 1anm				0	0	0	2	3	4	4	3	2	1	0
- 1bnm				0	0	0	0	4	7	9	8	5	2	2
- 1cnm				0	0	0	0	0	0	7	16	18	16	13
- 1dnm				0	0	0	0	0	0	0	1	10	19	24
- 0anm				0	0	0	0	0	0	0	0	0	1	6
low NA tools installed				0	0	0	2	7	12	19	29	36	40	45
net tools				0	0	0	2	6	4	8	10	7	4	5
SK Hynix high NA EUV exposures														
- 1znm														
- 1anm														
- 1bnm														
- 1cnm														
- 1dnm														
- 0anm												1	1	1
SK Hynix high NA EUV tool required														
- 1znm														
- 1anm														
- 1bnm														
- 1cnm														
- 1dnm				0	0	0	0	0	0	0	0	3	5	6
- 0anm				0	0	0	0	0	0	0	0	0	1	3
high NA installed											0	3	6	10
net tools											0	3	3	4
EUV Capacity required (kwpn)				0	0	112	614	1,015	1,728	2,702	3,662	4,330	5,268	
EUV Capacity installed (kwpn)				58	279	638	1,553	2,354	3,521	5,424	7,495	9,821	10,596	
SK Hynix - low NA EUV DRAM tool shipments		1	1	1	1	3	4	10	8	11	17	16	15	13
SK Hynix - high NA EUV DRAM tool shipments		0	0	0	0	0	0	1	1	1	1	1	3	5

Source: UBS, company estimates

Figure 23: DRAM EUV bottom up by customer- Micron

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Micron - DRAM (output)														
- 25nm														
- 20nm														
- 16nm														
- 15nm														
- 12nm														
- 11nm														
- 10nm														
- 10nm (1 Gamma)									20	150	300	250	200	170
- 1dnm											50	120	210	250
- 0dnm														20
Total wafer output (k wpm)								0	20	150	350	370	410	440
% y-o-y										650.0%	133.3%	5.7%	10.8%	7.3%
implied market share									1.6%	10.4%	20.1%	20.2%	22.1%	22.9%
Micron low NA EUV exposures														
- 12nm														
- 11nm														
- 10nm														
- 10nm (1 Gamma)									1	1	1	1	1	1
- 1dnm										3	3	3	3	3
- 0dnm														
Micron low NA EUV tool capacity (needed)														
- 12nm					0	0	0	0	0	0	0	0	0	0
- 11nm					0	0	0	0	0	0	0	0	0	0
- 10nm					0	0	0	0	0	0	0	0	0	0
- 10nm (1 Gamma)					0	0	0	0	0	2	3	3	2	2
- 1dnm					0	0	0	0	0	0	1	3	6	7
- 0dnm					0	0	0	0	0	0	0	0	0	0
low NA tools installed					0	0	0	0	0	2	5	6	8	9
net tools					0	0	0	0	0	1	3	1	2	1
Micron high NA EUV exposures														
- 12nm														
- 11nm														
- 10nm														
- 10nm (1 Gamma)														
- 1dnm														
- 0dnm														
Micron high NA EUV tool capacity (needed)														
- 12nm														
- 11nm														
- 10nm														
- 10nm (1 Gamma)														
- 1dnm					0	0	0	0	0	0	0	0	4	5
- 0dnm					0	0	0	0	0	0	0	0	0	1
high NA installed											0	0	4	5
net tools											0	0	4	1
EUV Capacity required (kwpn)					0	0	0	0	20	150	451	603	1,083	1,281
EUV Capacity installed (kwpn)					58	132	311	494	681	985	1,310	1,940	2,655	2,953
Micron - low NA EUV DRAM tool shipments	1	1	0	0	1	1	2	2	2	3	3	5	5	5
Micron - high NA DRAM tool shipments						0	0	0	0	0	0	0	0	0

Source: UBS, company estimates

3) High NA story is not over yet - benefits too big to ignore

Conclusion: Despite some delay in TSMC adoption vs. our initial expectations ([here](#)), we still see High NA being adopted within 2–3 years. The value proposition remains strong: (1) 20–40% cost savings on critical layers vs. double/triple patterning and process simplification, and (2) meaningful capacity unlock by replacing low-throughput multi-patterning steps (e.g., ALD ~30 wph). Our analysis suggests High NA can deliver >100% throughput gains vs. most alternatives (~80% vs. LELE), reinforcing its long-term adoption case.

Evidence: reported cost savings per critical layers, availability roadmap, process steps disclosure from industry conferences

A way for ASML or customers to unlock even more capacity would be through the use of high NA, which will improve overall cycle time and in memory where reuse exists free up EUV tools for other layers. High NA will be replacing multiple patterning steps listed below, in early stages it would be predominantly LELELE low NA (triple patterning) and SAQP (quadruple patterning) to a lesser extent.

Figure 24: Key patterning steps for high NA single patterning and low NA multiple patterning

High NA	Low NA			
LE	SADP	SAQP	LELE	LELELE
Litho	Litho	Litho	Litho	Litho
etch	etch	etch	etch	etch
	ALD	ALD	Litho	Litho
	etch	etch	etch	etch
		ALD		Litho
		etch		etch

Source: UBSe, Company data

Looking at the effective throughput for a single 'layer' by summing the individual steps, the use of high NA can save significant time/unlock incremental capacity. This is especially relevant in processes that use ALD which is the bottleneck in terms of wafer time.

Figure 25: Effective throughput for different patterning schemes

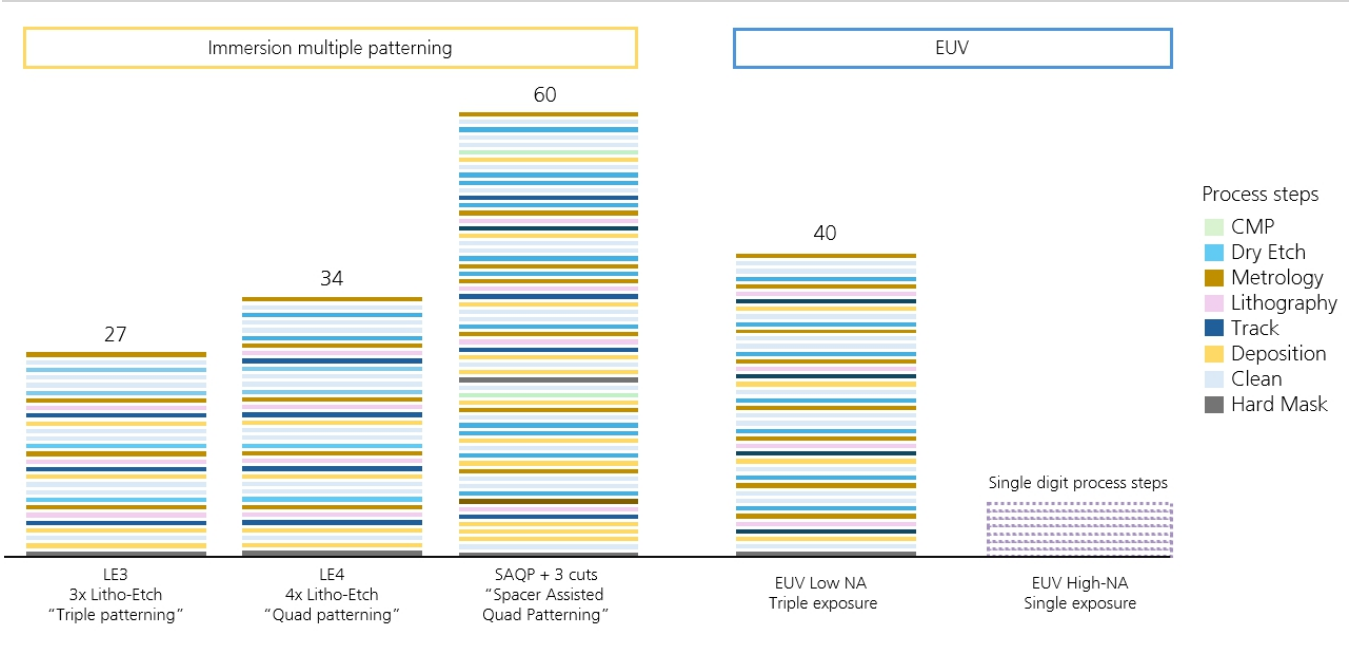
	High NA	Low NA			
	LE	SADP	SAQP	LELE	LELELE
Time taken per wafer (s)	36	169	305	65	98
Effective wph	99	21	12	55	37
High NA 'throughput' increase		365%	740%	80%	170%

Source: UBSe, Company data

Also, as a reminder, High NA is also key to reduce costs and process steps as shown below which is likely to drive adoption in the coming few years especially as shrink could be a strong way to increase capacity from existing clean room space.

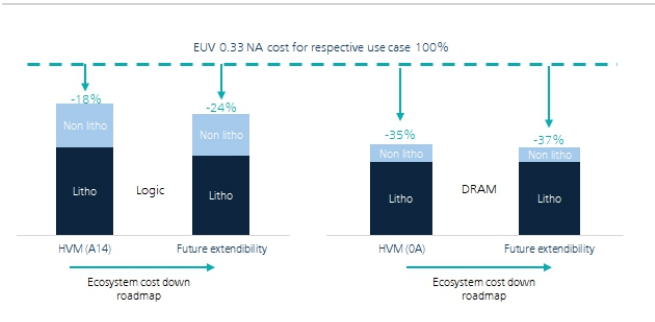
As previously discussed ([here](#)), High NA enables a process simplification compared with immersion-based multiple patterning but also low NA. Traditional immersion techniques like LE3, LE4, or SAQP+cuts can require between 27 to 60 process steps for critical layers, driving up cost, complexity, and defect risk. In contrast, Low NA EUV reduces this to around 10 steps, while High NA EUV can achieve similar or better resolution with steps in the single digits. **More recently, Intel claimed that 1 high NA EUV exposure & single digit process steps could replace 3 low NA EUV exposures and 40 steps, highlighting the significant simplification and cost savings that EUV can bring vs triple patterning low NA and even more recently that process steps can be reduced by a factor of 10.** This reduction translates into lower wafer costs, faster cycle times, improved yield and simpler design rules. This in turn makes High NA EUV a key enabler for efficient scaling at advanced nodes like A10 and beyond.

Figure 26: Process steps comparison



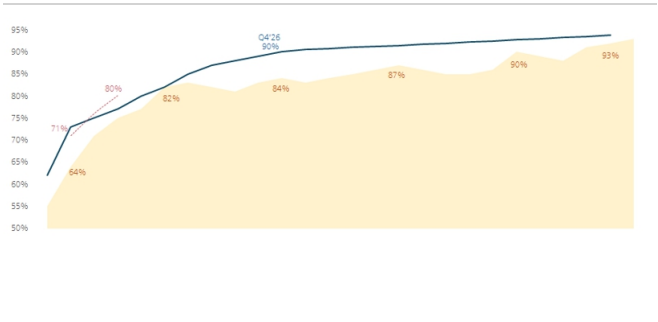
Source: Company data, UBS.

Figure 27: High NA to offer meaningful cost savings potential across memory and advanced logic



Source: Company data, UBS.

Figure 28: and availability is also improving meaningfully suggesting maturity reaching the threshold of 90%



Source: Company data, UBS.

MODELS AND VALUATION

We show below our assumptions for EUV shipments.

Figure 29: EUV shipments forecast by customer

0.33 NA tools	2015	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Logic																
TSMC	1	1	3	10	15	15	20	22	19	13	20	29	37	36	34	37
Samsung Foundry	1	1	1	2	4	9	11	14	4	2	2	3	3	3	3	3
Intel	2	2	2	3	3	2	2	9	7	8	5	5	8	10	10	10
GF			1													
Others			1	1	2		1			1	2	3	2	0	0	0
DRAM																
Samsung		1		1	1	4	7	5	6	6	5	11	14	13	12	12
SK Hynix				1	1	1	1	3	4	10	8	11	17	16	15	13
Micron		1		1			1	1	2	2	2	3	3	5	5	5
Total shipments	4	6	8	19	26	31	43	54	42	42	44	65	84	83	79	80
0.55 NA tools	2015	2016	2017	2018	2019	2020E	2021E	2022E	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
TSMC								0	0	1	2	1	2	2	5	8
Samsung								0	0	0	1	1	2	2	3	3
Intel								0	1	2	2	1	1	2	2	2
SK Hynix								0	0	0	1	1	1	1	3	5
Micron								0	0	0	0	0	0	0	0	0
Others								0	0	1	0	0	1	0	0	0
Total shipments								0	1	4	6	4	6	7	13	18

Source: UBS estimates

Figure 30: DUV revenues - we expect non China DUV growth to be similar to EUV growth. leading to 28% y-o-y growth for DUV in 2027E and 24% y-o-y in 2028E.

	2021	2022	2023	2024	2025	2026E	2027E	2028E
Non-China	4,883	5,553	5,869	3,853	3,890	5,174	7,338	9,798
y-o-y	18%	14%	6%	-34%	1%	33%	42%	34%
China	2,225	2,160	6,431	8,983	8,124	7,253	8,581	9,882
y-o-y		-3%	198%	40%	-10%	-11%	18%	15%
DUV revenues	7,108	7,713	12,300	12,836	12,013	12,427	15,919	19,681
y-o-y		9%	455%	4%	-6%	3%	28%	24%

Source: UBS estimates

Forecast changes

We revise our projections, primarily reflecting stronger revenue growth in memory and advanced logic, which influences EUV as well as DUV, excluding China. We now anticipate EUV revenues to grow 37% YoY and 10% YoY in 2027/2028E compared to prior estimates of 26% and -1%, respectively. Consequently, we also expect DUV revenue growth of 28% and 24% YoY versus earlier forecasts of 16% and 17% YoY.

Here are the main changes by end market:

Memory (38% of product sales in 2026E): We now project +35% YoY/+10% YoY growth in 2027/2028E, revised upward from the previous estimate of +35%/-10%, as we anticipate the memory cycle will likely extend through 2028E given the prevailing constraints. Additionally, we expect the 1d ramp-up in 2027/2028 to be more lithography-intensive.

Foundry/Logic (62% of product sales in 2026E): We now forecast growth of +34% YoY in 2027E and +18% YoY in 2028E, revised upward from our prior estimates of +16% and +17%, respectively. This adjustment is primarily attributed to improvements in Intel and Samsung foundry operations, as well as increased investment in 2028E driven by TSMC capacity constraints anticipated in 2027.

Figure 31: We forecast 37%y-o-y/10% y-o-y EUV revenues in 2027/2028E vs 26%/-1% previously. As a consequence, we also estimate DUV revenues to grow 28%/24% vs +16 y-o-y/17% previously.

EURm	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Product Sales Model													
Product sales	4,571	6,374	8,259	8,997	10,317	13,907	15,430	21,939	21,769	24,474	30,473	40,861	47,059
% y-o-y	8%	39%	30%	9%	15%	35%	11%	42%	-1%	12%	25%	34%	15%
- o/w DUV litho and older	4,241	4,995	6,069	5,926	5,584	7,108	7,713	12,300	12,836	12,013	12,427	15,919	19,681
y-o-y	2%	18%	21%	-2%	-6%	27%	9%	59%	4%	-6%	3%	28%	24%
- o/w EUV litho	330	1,102	1,886	2,782	4,404	6,290	7,079	9,090	8,363	11,651	17,320	23,652	26,110
y-o-y	408%	234%	71%	48%	58%	43%	13%	28%	-8%	39%	49%	37%	10%
- o/w metrology & inspection	0	277	304	289	329	508	638	549	570	810	726	1,290	1,268
y-o-y	#DIV/0!	#DIV/0!	10%	-5%	14%	55%	26%	-14%	4%	42%	-10%	78%	-2%

Source: UBSe

Figure 32: DUV forecast China vs Non China. We expect a correlation with one year lag between non China DUV and EUV growth. We didn't change our China forecast.

	2021	2022	2023	2024	2025	2026E	2027E	2028E
Non-China	4,883	5,553	5,869	3,853	3,890	5,174	7,338	9,798
y-o-y	18%	14%	6%	-34%	1%	33%	42%	34%
China	2,225	2,160	6,431	8,983	8,124	7,253	8,581	9,882
y-o-y	-3%	198%	40%	-10%	-11%	18%	15%	
DUV revenues	7,108	7,713	12,300	12,836	12,013	12,427	15,919	19,681
y-o-y		9%	455%	4%	-6%	3%	28%	24%

Source: UBSe

Valuation

We raise EPS by 9%/20% in 2027E/28E to reflect a more sustained memory upcycle and continued strength in advanced logic.

Figure 33: UBS forecast changes for ASML

EURm	New					Old					% change				
	2026E	2027E	2028E	2029E	2030E	2026E	2027E	2028E	2029E	2030E	2026E	2027E	2028E	2029E	2030E
Product sales	30,473	40,861	47,059	46,774	50,187	30,677	37,749	39,913	41,883	44,243	-0.7%	8.2%	17.9%	11.7%	13.4%
Service sales	9,410	11,123	13,204	15,393	17,503	9,458	11,192	12,706	14,906	16,795	-0.5%	-0.6%	3.9%	3.3%	4.2%
Total revenues	39,883	51,984	60,263	62,167	67,691	40,135	48,940	52,619	56,789	61,038	-0.6%	6.2%	14.5%	9.5%	10.9%
Gross profit adj.	21,482	28,229	33,314	35,007	38,273	21,630	26,577	28,964	31,852	34,338	-0.7%	6.2%	15.0%	9.9%	11.5%
Gross margin adj.	53.9%	54.3%	55.3%	56.3%	56.5%	53.9%	54.3%	55.0%	56.1%	56.3%	-3bps	0bps	24bps	22bps	28bps
R&D	-4,862	-5,224	-5,485	-5,759	-5,956	-4,862	-5,224	-5,485	-5,759	-5,956	0.0%	0.0%	0.0%	0.0%	0.0%
SG&A	-1,202	-1,262	-1,326	-1,458	-1,531	-1,202	-1,262	-1,326	-1,458	-1,531	0.0%	0.0%	0.0%	0.0%	0.0%
EBIT adj.	15,419	21,743	26,503	27,789	30,785	15,566	20,091	22,153	24,635	26,851	-1.0%	8.2%	19.6%	12.8%	14.7%
% margin	38.7%	41.8%	44.0%	44.7%	45.5%	38.8%	41.1%	42.1%	43.4%	44.0%	-13bps	77bps	188bps	132bps	149bps
Interest Income/fvs	131	120	120	120	120	131	120	120	120	120					
Tax	-2,516	-3,492	-4,253	-4,459	-4,938	-2,540	-3,227	-3,557	-3,954	-4,309					
Net Income adj.	13,027	18,365	22,363	23,444	25,960	13,151	16,977	18,710	20,794	22,656	-0.9%	8.2%	19.5%	12.7%	14.6%
EPS diluted adj.	33.92	48.42	59.73	63.46	71.50	34.25	44.75	49.97	56.26	62.37	-0.9%	8.2%	19.5%	12.8%	14.6%
New unit shipments	347	414	479	462	480	347	380	414	419	432	0.0%	8.9%	15.9%	10.3%	11.0%
Refurbished tools	33	28	28	28	28	33	28	28	28	28	0.0%	0.0%	0.0%	0.0%	0.0%
Total unit shipments	380	442	507	490	508	380	408	442	447	460	0.0%	8.3%	14.9%	9.7%	10.3%
ASP (new tools - EURm)	85.7	95.5	95.5	98.4	101.7	86.3	95.8	93.4	96.8	99.1	-0.7%	-0.4%	2.2%	1.6%	2.6%
ASP (refurbs - Euro m)	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	0.0%	0.0%	0.0%	0.0%	0.0%
ASP (Euro m)	80.2	92.4	92.7	95.5	98.8	80.7	92.4	90.4	93.7	96.1	-0.7%	-0.1%	2.6%	1.8%	2.8%

Source: UBS estimates

Our price target increases to €1,900 from €1,600 on the back of the above estimate changes.

Figure 34: UBS DCF valuation summary – ASML

Dec Yr End EURm	2019	2020	2021	Actual 2022	2023	2024	2025	2026E	Explicit Projections				
									2027E	2028E	2029E	2030E	
Revenue	11,820	13,978	18,611	21,173	27,559	28,263	32,667	39,883	51,984	60,263	62,167	67,691	
% change y-o-y													
EBIT	2,831	4,091	6,790	6,541	9,082	9,063	11,342	15,419	21,743	26,503	27,789	30,785	
margin %	24%	29%	36%	31%	33%	32%	35%	39%	42%	44%	45%	45%	
D&A	369	411	391	504	660	839	946	569	440	720	1,840	1,920	
% of sales	3%	3%	2%	2%	2%	3%	3%	1%	1%	1%	3%	3%	
EBITDA	3,199	4,502	7,181	7,044	9,742	9,901	12,288	15,988	22,183	27,223	29,629	32,705	
margin %	27%	32%	39%	33%	35%	35%	38%	40%	43%	45%	48%	48%	
Cash tax	-192	-552	-1,021	-970	-1,436	-1,681	-2,013	-2,516	-3,492	-4,253	-4,459	-4,938	
tax rate %	7%	13%	15%	15%	16%	19%	18%	16%	16%	16%	16%	16%	
NWC	74	532	4,893	2,441	-3,664	2,053	1,027	-3,487	12,631	5,254	-7,004	8,461	
Capex	-767	-980	-923	-1,282	-2,156	-2,067	-1,574	-1,152	-1,000	-1,000	-2,000	-2,400	
% of sales	6%	7%	5%	6%	8%	7%	5%	3%	2%	2%	3%	4%	
FCF	2,315	3,503	10,129	7,234	2,487	8,207	9,727	8,832	30,322	27,223	16,166	33,827	
Discounted FCF	0	0	0	0	0	0	0	0	29,020	23,910	13,030	25,021	

DCF Summary (EURm)	
Enterprise Value	714,963
Net Cash (2026E)	11,174
Equity investments	1,000
Market Value (Em)	727,137
No of shares (m)	382.7
Per share (E)	1,900

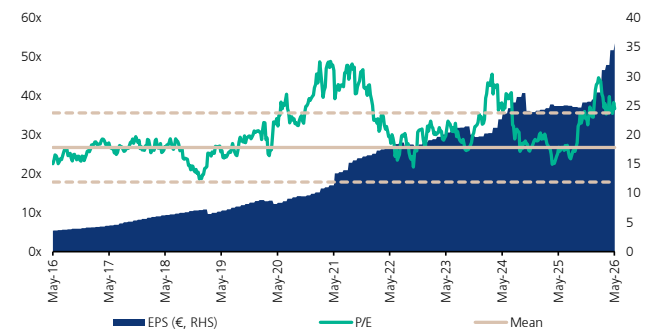
Assumptions normalised year	
Revenue g %	
Product Sales	3%
Service Sales	3%
EBIT margin %	40%
Capex % of sales	2.4%
D&A % of sales	2.3%
Tax rate	16%

WACC Calculation	
Equity Beta	1.4
Rf	2.0%
ERP	5.5%
Ke	9.8%
DRP	3.0%
Kd	4.2%
Gearing	15.0%
WACC	9%

Value beyond 2026 as % of EV	623,983 87%
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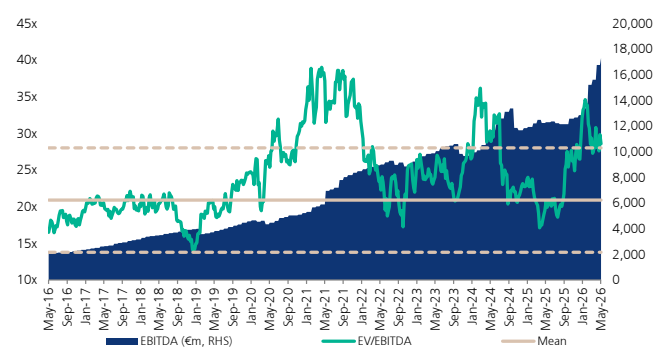
Source: Company data, UBS estimates

Figure 35: ASML historical 12-month forward P/E



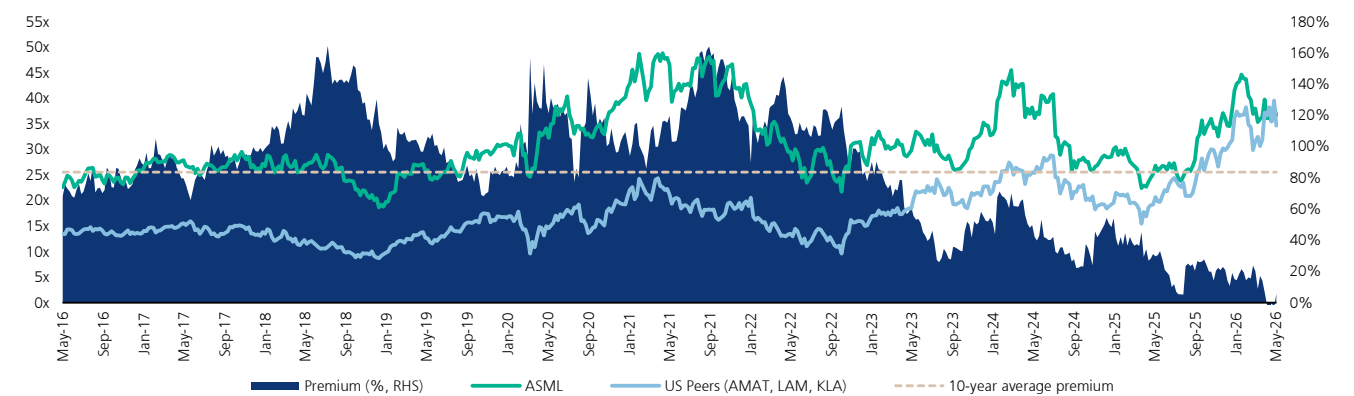
Source: UBS, Datastream

Figure 36: ASML historical 12-month forward EV/EBITDA



Source: UBS, Datastream

Figure 37: ASML premium (12-month forward P/E) vs. US large cap peers - ASML is trading at a 6% premium vs US peers vs 84% 10Y average



Source: UBS, Datastream

Figure 38: UBS estimates - ASML Units & ASP

	2018	2019	2020	2021	2022	2023	2024	2025	Q1 26	Q2 26E	Q3 26E	Q4 26E	2026E	2027E	2028E
i-line	21	28	25	29	42	51	57	48	9	10	10	14	43	50	61
KrF dry	73	56	92	115	141	173	136	72	24	25	20	20	89	95	111
ArF dry	13	22	20	22	28	30	26	14	4	5	5	10	24	29	38
ArF Immersion	81	80	68	78	79	116	122	119	14	27	38	42	121	150	180
EUV 0.33NA	18	26	31	42	40	53	42	44	14	13	14	24	65	84	83
EUV High-NA	0	0	0	0	0	0	2	4	2	1	1	1	5	6	7
New tools (units)	206	212	236	286	330	423	385	301	67	81	88	111	347	414	479
Used tools	17	22	22	23	28	28	38	27	12	7	7	7	33	28	28
Product sales (units)	223	234	258	309	358	451	423	328	79	88	95	118	380	442	507
New Tools ASP (€m)	38.0	40.2	41.6	46.3	44.9	50.6	55.1	78.6	91.8	76.8	82.5	91.1	85.7	95.5	95.5
Used tools	7.7	8.0	7.9	7.0	5.6	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0
Total ASP (€m)	37.0	38.4	40.0	45.0	43.1	48.6	51.5	74.6	79.5	73.0	78.5	87.4	80.2	92.4	92.7
New Tools Sales (€m)	7,824	8,532	9,813	13,237	14,822	21,390	21,199	23,664	6,154	6,220	7,258	10,116	29,747	39,571	45,791
Used tools	131	176	175	162	158	224	304	216	96	56	56	56	264	224	224
Metrology & inspection	304	289	329	508	638	549	570	810	126	200	200	200	726	1,290	1,268
ASML Product sales (€m)	8,259	8,997	10,317	13,907	15,430	21,939	21,769	24,474	6,279	6,420	7,458	10,316	30,473	40,861	47,059
% y-o-y	30%	9%	15%	35%	11%	42%	-1%	12%	9%	15%	34%	36%	25%	34%	15%
New tool sales ex EUV	5,938	5,750	5,409	6,946	7,744	12,300	12,836	12,013	2,009	2,772	3,574	4,072	12,427	15,919	19,681
% y-o-y	22%	-3%	-6%	28%	11%	59%	4%	-6%	-15%	-1%	11%	12%	3%	28%	24%

Source: Company data, UBS estimates

Figure 39: UBS estimates – ASML Income Statement (€m)

Income Statement																
EURm	2018	2019	2020	2021	2022	2023	2024	2025	Q1 26	Q2 26E	Q3 26E	Q4 26E	2026E	2027E	2028E	
Product sales	8,259	8,996	10,317	13,653	15,430	21,939	21,769	24,474	6,279	6,420	7,458	10,316	30,473	40,861	47,059	
y-o-y %	29.6%	8.9%	14.7%	32.3%	13.0%	42.2%	-0.8%	12.4%	9.4%	14.7%	34.3%	36.0%	24.5%	34.1%	15.2%	
Service sales	2,685	2,824	3,662	4,958	5,743	5,620	6,494	8,193	2,488	2,500	2,300	2,122	9,410	11,123	13,204	
y-o-y %	0.2%	5.2%	29.7%	35.4%	15.8%	-2.1%	15.6%	26.2%	24.3%	19.3%	17.2%	-0.6%	14.9%	18.2%	18.7%	
Revenues	10,944	11,820	13,978	18,611	21,173	27,559	28,263	32,667	8,767	8,920	9,758	12,438	39,883	51,984	60,263	
y-o-y %	20.9%	8.0%	18.3%	33.1%	13.8%	30.2%	2.6%	15.6%	13.2%	16.0%	29.8%	28.0%	22.1%	30.3%	15.9%	
CoS	-5,915	-6,540	-7,181	-8,802	-10,473	-13,422	-13,771	-15,409	-4,122	-4,197	-4,479	-5,643	-18,440	-23,795	-26,989	
Gross margin - headline	5,029	5,280	6,797	9,809	10,700	14,136	14,492	17,258	4,645	4,723	5,279	6,795	21,442	28,189	33,274	
Gross margin (%)	46.0%	44.7%	48.6%	52.7%	50.5%	51.3%	51.3%	52.8%	53.0%	53.0%	54.1%	54.6%	53.8%	54.2%	55.2%	
Gross profit - UBS	5,200	5,320	6,837	9,849	10,740	14,176	14,532	17,298	4,655	4,733	5,289	6,805	21,482	28,229	33,314	
Gross margin (%) - UBS	47.5%	45.0%	48.9%	52.9%	50.7%	51.4%	51.4%	53.0%	53.1%	53.1%	54.2%	54.7%	53.9%	54.3%	55.3%	
R&D	-1,576	-1,969	-2,201	-2,547	-3,254	-3,981	-4,304	-4,699	-1,185	-1,202	-1,200	-1,275	-4,862	-5,224	-5,485	
% of revenue	14.4%	16.7%	15.7%	13.7%	15.4%	14.4%	15.2%	14.4%	13.5%	13.5%	12.3%	10.3%	12.2%	10.0%	9.1%	
SG&A	-488	-521	-545	-726	-946	-1,113	-1,166	-1,258	-302	-300	-300	-300	-1,202	-1,262	-1,326	
% of revenue	4.5%	4.4%	3.9%	3.9%	4.5%	4.0%	4.1%	3.9%	3.4%	3.4%	3.1%	2.4%	3.0%	2.4%	2.2%	
Other (expenses) income	0	0	0	214	0	0	0	0	0	0	0	0	0	0	0	
Total opex	-2,064	-2,489	-2,746	-3,059	-4,199	-5,094	-5,469	-5,957	-1,487	-1,502	-1,500	-1,575	-6,064	-6,486	-6,811	
EBIT - headline	2,965	2,791	4,051	6,750	6,501	9,042	9,023	11,302	3,158	3,222	3,779	5,220	15,379	21,703	26,463	
% margin	27.1%	23.6%	29.0%	36.3%	30.7%	32.8%	31.9%	34.6%	36.0%	36.1%	38.7%	42.0%	38.6%	41.7%	43.9%	
EBIT adj.	3,136	2,831	4,091	6,790	6,541	9,082	9,063	11,342	3,168	3,232	3,789	5,230	15,419	21,743	26,503	
% margin	28.7%	23.9%	29.3%	36.5%	30.9%	33.0%	32.1%	34.7%	36.1%	36.2%	38.8%	42.1%	38.7%	41.8%	44.0%	
Interest Income(Expense)	-14	-9	54	-18	-45	41	20	105	41	30	30	30	131	120	120	
PBT adj.	3,122	2,822	4,145	6,772	6,496	9,124	9,082	11,446	3,209	3,262	3,819	5,260	15,549	21,863	26,623	
Tax	-352	-192	-552	-1,021	-970	-1,436	-1,681	-2,013	-547	-520	-609	-840	-2,516	-3,492	-4,253	
Effective Tax Rate %	11.3%	6.8%	13.3%	15.1%	14.9%	15.7%	18.5%	17.6%	17.1%	16.0%	16.0%	16.0%	16.2%	16.0%	16.0%	
Net Income cont. adj.	2,759	2,628	3,588	5,744	5,520	7,681	7,395	9,426	2,660	2,740	3,208	4,419	13,027	18,365	22,363	
EPS basic - headline	6.10	6.16	8.50	14.38	14.17	19.91	19.25	24.74	7.15	7.08	8.32	11.51	34.06	48.26	59.59	
EPS diluted - headline	6.08	6.15	8.48	14.36	14.16	19.89	19.24	24.72	7.15	7.07	8.31	11.50	34.03	48.22	59.54	
EPS basic - UBS	6.50	6.25	8.58	14.04	13.91	19.51	18.80	24.26	6.90	7.13	8.37	11.56	33.95	48.45	59.78	
EPS diluted - UBS	6.47	6.23	8.57	14.02	13.90	19.49	18.79	24.24	6.90	7.12	8.36	11.55	33.92	48.42	59.73	

Source: Company data, UBS estimates

Figure 40: UBS estimates – ASML Balance sheet (€m)

Balance Sheet EURm	2018	2019	2020	2021	2022	2023	2024	2025	Q1 26	Q2 26E	Q3 26E	Q4 26E	2026E	2027E	2028E
Cash and cash equivalents	3,121	3,532	6,049	6,952	7,268	7,005	12,736	12,916	7,970	7,483	11,288	13,474	13,474	34,877	52,260
Short term Investments	913	1,186	1,302	639	108	5	5	406	406	406	406	406	406	406	406
Accounts receivable	1,498	1,787	1,310	3,028	5,324	4,334	4,478	3,023	4,403	4,956	5,421	4,837	4,837	7,573	9,835
Finance receivables	611	565	1,711	1,186	1,357	1,379	83	614	630	630	630	630	630	630	630
Current tax assets	80	179	67	42	33	1,001	284	89	65	65	65	65	65	65	65
Inventories	3,440	3,809	4,689	5,179	7,200	8,851	10,892	11,429	11,711	11,924	12,726	16,032	16,032	15,793	19,994
Deferred tax assets	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other current assets	869	1,074	802	1,165	1,775	1,819	2,261	2,140	2,398	2,398	2,398	2,398	2,398	2,398	2,398
Total current assets	10,531	12,131	15,930	18,190	23,065	24,394	30,737	30,616	27,584	27,862	32,934	37,842	37,842	61,743	85,589
Finance receivables	275	421	401	383	0	61	317	13	198	198	198	198	198	198	198
Deferred tax asset	236	445	672	1,099	1,673	1,872	1,941	1,719	1,762	1,762	1,762	1,762	1,762	1,762	1,762
Other assets	806	830	951	1,011	1,104	1,581	2,247	2,711	3,047	3,047	3,047	3,047	3,047	3,047	3,047
Goodwill	4,541	4,541	4,629	4,556	4,556	4,589	4,589	4,589	4,589	4,589	4,589	4,589	4,589	4,589	4,589
Other intangible assets	1,104	1,104	1,049	952	842	742	621	540	532	532	532	532	532	532	532
PP&E	1,590	1,999	2,470	2,983	3,944	5,493	6,847	7,894	7,770	7,890	8,010	8,130	8,130	8,610	8,810
Total long-term assets	9,606	10,499	11,337	12,041	13,236	15,564	17,852	19,951	20,477	20,597	20,717	20,837	20,837	21,317	21,517
Total assets	20,137	22,630	27,267	30,231	36,300	39,958	48,590	50,567	48,061	48,459	53,651	58,679	58,679	83,059	107,106
ST debt	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Tax liabilities	188	188	188	188	188	188	188	188	188	188	188	188	188	188	188
Accounts payable	964	1,630	1,703	5,636	8,724	7,915	9,683	11,609	9,539	10,158	11,456	14,089	14,089	22,181	28,081
Accrued and other liabilities	2,640	2,876	4,713	6,474	9,072	8,172	10,181	12,467	10,561	9,758	12,438	12,438	12,438	19,474	25,291
Provisions	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total current liabilities	3,792	4,694	6,604	12,298	17,984	16,275	20,051	24,264	20,288	20,103	24,082	26,714	26,714	41,843	53,560
LT debt	3,027	3,108	4,663	4,075	3,514	4,632	3,677	2,709	2,706	2,706	2,706	2,706	2,706	2,706	2,706
Deferred and other liabilities	251	234	238	241	267	372	299	183	235	235	235	235	235	235	235
Provisions	29	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Accrued and other liabilities	1,397	2,001	1,897	3,477	5,725	5,227	6,085	3,799	4,002	4,002	4,002	4,002	4,002	4,002	4,002
Total non-current liabilities	4,704	5,343	6,799	7,792	9,506	10,230	10,061	6,691	6,943	6,943	6,943	6,943	6,943	6,943	6,943
Shareholders' equity	11,641	12,592	13,865	10,141	8,811	13,452	18,477	19,612	20,830	21,413	22,625	25,021	25,021	34,274	46,603
Total liabilities and equity	20,137	22,630	27,267	30,231	36,300	39,958	48,590	50,567	48,061	48,459	53,651	58,679	58,679	83,059	107,106

Source: Company data, UBS estimates

Figure 41: UBS estimates – ASML Cash flow (€m)

Cash Flow Statement															
EURm	2018	2019	2020	2021	2022	2023	2024	2025	Q1 26	Q2 26E	Q3 26E	Q4 26E	2026E	2027E	2028E
Net income	2,591	2,592	3,554	5,883	5,624	7,839	7,572	9,609	2,757	2,721	3,189	4,400	13,068	18,291	22,290
D&A	423	449	491	471	584	740	919	1,026	259	130	130	130	649	520	800
% of revenue	3.9%	3.8%	3.5%	2.5%	2.8%	2.7%	3.3%	3.1%	3.0%	1.5%	1.3%	1.0%	1.6%	1.0%	1.3%
Share based payments	46	75	54	118	69	135	173	202	31	0	0	0	31	0	0
Deferred Income tax	-239	-200	-211	-420	-564	-134	-145	181	-42	0	0	0	-42	0	0
Change in A&L	-59	74	532	4,893	2,441	-3,664	2,053	1,027	-5,158	-951	2,712	-90	-3,487	12,631	5,254
Others	326	287	209	-99	333	527	595	614	-33	0	0	0	-33	0	0
Cash flow from operations	3,088	3,276	4,628	10,846	8,487	5,443	11,166	12,659	-2,186	1,901	6,032	4,440	10,187	31,442	28,343
Capex	-574	-767	-980	-923	-1,282	-2,156	-2,067	-1,574	-402	-250	-250	-250	-1,152	-1,000	-1,000
% of revenue	5.2%	6.5%	7.0%	5.0%	6.1%	7.8%	7.3%	4.8%	4.6%	2.8%	2.6%	2.0%	2.9%	1.9%	1.7%
Others	67	-391	-373	851	253	-534	-542	-2,204	-85	0	0	0	-85	0	0
Cash flow from investing	-508	-1,158	-1,352	-72	-1,029	-2,689	-2,609	-3,778	-488	-250	-250	-250	-1,238	-1,000	-1,000
Dividend paid	-597	-1,326	-1,066	-1,368	-2,560	-2,348	-2,453	-2,550	-617	-1,038	-767	-673	-3,095	-3,439	-4,080
Purchase of shares	-1,146	-410	-1,208	-8,560	-4,640	-1,000	-500	-5,950	-1,000	-1,100	-1,210	-1,331	-4,641	-5,600	-5,880
Issue of shares	22	27	38	49	82	99	124	142	35	0	0	0	35	0	0
Change in debt, net	-3	-4	1,485	-3	-516	-753	-26	-313	-693	0	0	0	-693	0	0
Others	0	0	-2	-9	496	998	23	0	0	0	0	0	0	0	0
Cash flow from financing	-1,724	-1,712	-753	-9,892	-7,138	-3,004	-2,832	-8,671	-2,275	-2,138	-1,977	-2,004	-8,394	-9,039	-9,960
FX / Other	5	5	-5	20	-3	-14	6	-30	3	0	0	0	3	0	0
Net cashflow	862	411	2,517	902	317	-264	5,731	180	-4,946	-487	3,805	2,186	558	21,403	17,383
Free Cash Flow	2,514	2,510	3,648	9,923	7,205	3,288	9,099	11,085	-2,588	1,651	5,782	4,190	9,034	30,442	27,343
% margin	23.0%	21.2%	26.1%	53.3%	34.0%	11.9%	32.2%	33.9%	-29.5%	18.5%	59.3%	33.7%	22.7%	58.6%	45.4%

Source: Company data, UBS estimates

ASML (ASML.AS)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (€m)										
Revenues	27,559	28,263	32,667	39,883	22.1	51,984	30.3	60,263	62,167	67,691
Gross profit	14,176	14,532	17,298	21,482	24.2	28,229	31.4	33,314	35,007	38,273
EBITDA (UBS)	9,822	9,981	12,368	16,068	29.9	22,263	38.6	27,303	29,709	32,785
Depreciation & amortisation	(740)	(919)	(1,026)	(649)	36.7	(520)	19.9	(800)	(1,920)	(2,000)
EBIT (UBS)	9,082	9,063	11,342	15,419	35.9	21,743	41.0	26,503	27,789	30,785
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	41	20	105	131	25.1	120	-8.3	120	120	120
Exceptionals (incl goodwill)	(40)	(40)	(40)	(40)	0.0	(40)	0.0	(40)	(40)	(40)
Pre-tax profit	9,084	9,042	11,406	15,509	36.0	21,823	40.7	26,583	27,869	30,865
Tax	(1,436)	(1,681)	(2,013)	(2,516)	-25.0	(3,492)	-38.8	(4,253)	(4,459)	(4,938)
Profit after tax	7,648	7,362	9,393	12,993	38.3	18,331	41.1	22,330	23,410	25,927
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	191	210	217	75	-65.6	(40)	-	(40)	(40)	(40)
Net earnings (local GAAP)	7,839	7,572	9,609	13,068	36.0	18,291	40.0	22,290	23,370	25,887
Net earnings (UBS)	7,681	7,395	9,426	13,027	38.2	18,365	41.0	22,363	23,444	25,960
Tax rate (%)	15.8	18.6	17.7	16.2	-8.1	16.0	-1.4	16.0	16.0	16.0
Per Share (€)										
EPS (UBS, diluted)	19.49	18.79	24.24	33.92	40.0	48.42	42.7	59.73	63.46	71.50
EPS (local GAAP, diluted)	19.89	19.24	24.71	34.03	37.7	48.22	41.7	59.54	63.26	71.30
EPS (UBS, basic)	19.51	18.80	24.26	33.95	40.0	48.45	42.7	59.78	63.51	71.56
DPS (net) (€)	6.10	6.40	7.50	9.97	32.9	9.41	-5.7	11.65	13.48	15.43
Cash EPS (UBS, diluted) ¹	21.37	21.12	26.88	35.61	32.5	49.79	39.8	61.87	68.66	77.01
Book value per share	34.16	46.92	50.47	65.21	29.2	90.43	38.7	124.58	158.68	198.64
Average shares (diluted)	394	394	389	384	-1.3	379	-1.2	374	369	363
Balance Sheet (€m)										
Net tangible fixed assets	5,493	6,847	7,894	8,130	3.0	8,610	5.9	8,810	8,890	9,290
Net intangible fixed assets	5,330	5,210	5,129	5,121	-0.2	5,121	0.0	5,121	5,121	5,121
Investments	1,226	1,290	2,484	2,579	3.8	2,579	0.0	2,579	2,579	2,579
Other assets	3,514	4,505	4,444	5,007	12.7	5,007	0.0	5,007	5,007	5,007
Total fixed assets	15,564	17,852	19,951	20,837	4.4	21,317	2.3	21,517	21,597	21,997
Net working capital	1,109	(2,055)	(6,970)	(2,752)	60.5	(15,383)	NM	(20,636)	(13,632)	(22,093)
Cash	7,010	12,741	13,322	13,880	4.2	35,283	154.2	52,666	57,550	79,104
Short term debt	0	0	0	0	-	0	-	0	0	0
Long term debt	(10,230)	(10,061)	(6,691)	(6,943)	-3.8	(6,943)	0.0	(6,943)	(6,943)	(6,943)
Preferred shares	0	0	0	0	-	0	-	0	0	0
Net (debt) / cash	(3,220)	2,680	6,631	6,937	4.6	28,340	308.5	45,723	50,607	72,161
Other debt-deemed liabilities	0	0	0	0	-	0	-	0	0	0
Provisions & non-debt deemed liabs	0	0	0	0	-	0	-	0	0	0
Total equity	13,452	18,477	19,612	25,021	27.6	34,274	37.0	46,603	58,571	72,065
Minority interests	0	0	0	0	-	0	-	0	0	0
Common s/h equity	13,452	18,477	19,612	25,021	27.6	34,274	37.0	46,603	58,571	72,065
Operating invested capital	15,446	14,507	10,497	15,506	47.7	3,355	-78.4	(1,699)	5,385	(2,675)
Total capital employed	16,673	15,797	12,981	18,085	39.3	5,934	-67.2	880	7,964	(96)
Cash Flow (€m)										
EBIT (UBS)	9,082	9,063	11,342	15,419	35.9	21,743	41.0	26,503	27,789	30,785
Depreciation & amortisation	740	919	1,026	649	-36.7	520	-19.9	800	1,920	2,000
Net change in working capital	(3,664)	2,053	1,027	(3,487)	-	12,631	-	5,254	(7,004)	8,461
Net interest	41	20	105	131	25.1	120	-8.3	120	120	120
Tax paid	(1,436)	(1,681)	(2,013)	(2,516)	-25.0	(3,492)	-38.8	(4,253)	(4,459)	(4,938)
Other operating	871	1,002	1,390	66	-95.3	(120)	-	(120)	(120)	(120)
Operating cash flow	5,635	11,376	12,875	10,261	-20.3	31,402	206.0	28,303	18,246	36,307
Tangible capital expenditure	(2,156)	(2,067)	(1,574)	(1,152)	26.8	(1,000)	13.2	(1,000)	(2,000)	(2,400)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Equity free cash flow	3,479	9,309	11,302	9,109	-19.4	30,402	233.8	27,303	16,246	33,907
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Equity dividends paid	(2,348)	(2,453)	(2,550)	(3,095)	-21.4	(3,439)	-11.1	(4,080)	(4,641)	(5,209)
Share issues / (buybacks)	(901)	(376)	(5,808)	(4,606)	20.7	(5,600)	-21.6	(5,880)	(6,762)	(7,185)
Net other cash flows	450	(513)	(2,234)	(83)	96.3	0	-	0	0	0
Cash flow (inc)/dec in net debt	681	5,967	709	1,325	86.8	21,363	NM	17,343	4,844	21,514
FX / non cash items	(1,771)	(66)	3,242	(1,020)	-	40	-	40	40	40
Balance sheet (inc)/dec in net debt	(1,090)	5,900	3,952	305	-92.3	21,403	NM	17,383	4,884	21,554

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

ASML (ASML.AS)

	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Valuation (x)								
P/E (local GAAP, diluted)	30.7	41.5	29.3	36.7	25.9	21.0	19.7	17.5
P/E (UBS, diluted)	31.4	42.5	29.9	36.8	25.8	20.9	19.7	17.5
P/CEPS	28.6	37.8	26.9	35.0	25.1	20.2	18.2	16.2
Equity FCF (UBS) yield %	1.4	3.0	4.0	1.9	6.3	5.6	3.3	7.0
Dividend yield (net) %	1.0	0.8	1.0	0.8	0.8	0.9	1.1	1.2
P/BV	17.9	17.0	14.4	19.2	13.8	10.0	7.9	6.3
EV/revenues (core)	8.7	NM	8.4	NM	8.7	7.2	6.9	6.0
EV/EBITDA (UBS core)	24.4	30.5	22.1	29.4	20.3	15.9	14.5	12.4
EV/EBIT (core)	26.3	33.6	24.1	30.7	20.8	16.4	15.5	13.3
EV/OpFCF (core)	24.4	30.6	22.2	29.5	20.3	15.9	14.5	12.5
EV/op. invested capital	18.9	20.3	21.9	36.4	47.9	>100	>100	>100
Enterprise value (€m)								
Market cap.	242,636	314,749	285,334	485,361	485,361	485,361	485,361	485,361
Net debt (cash)	(2,379)	(9,064)	(10,613)	(11,174)	(32,577)	(49,960)	(54,844)	(76,398)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	240,258	305,685	274,721	474,187	452,784	435,401	430,517	408,963
Non core assets	(1,000)	(1,000)	(1,000)	(1,000)	(1,000)	(1,000)	(1,000)	(1,000)
Core enterprise value	239,258	304,685	273,721	473,187	451,784	434,401	429,517	407,963
Growth (%)								
Revenue	30.2	2.6	15.6	22.1	30.3	15.9	3.2	8.9
EBITDA (UBS)	37.9	1.6	23.9	29.9	38.6	22.6	8.8	10.4
EBIT (UBS)	38.9	(0.2)	25.1	35.9	41.0	21.9	4.9	10.8
EPS (UBS, diluted)	40.3	(3.6)	29.0	40.0	42.7	23.4	6.2	12.7
Net DPS	5.2	4.9	17.2	32.9	(5.7)	23.9	15.7	14.5
Margins & Profitability (%)								
Gross profit margin	51.4	51.4	53.0	53.9	54.3	55.3	56.3	56.5
EBITDA margin	35.6	35.3	37.9	40.3	42.8	45.3	47.8	48.4
EBIT (UBS) margin	33.0	32.1	34.7	38.7	41.8	44.0	44.7	45.5
Net earnings (UBS) margin	27.9	26.2	28.9	32.7	35.3	37.1	37.7	38.4
ROIC (EBIT)	71.9	60.5	NM	NM	NM	NM	NM	NM
ROIC post tax	60.5	49.3	74.7	NM	NM	NM	NM	NM
ROE (UBS)	69.0	46.3	49.5	58.4	61.9	55.3	44.6	39.7
Capital structure & Coverage (x)								
Net debt / EBITDA	0.3	(0.3)	(0.5)	(0.4)	(1.3)	(1.7)	(1.7)	(2.2)
Net debt / total equity %	23.9	(14.5)	(33.8)	(27.7)	(82.7)	(98.1)	(86.4)	(100.1)
Net debt / (net debt + total equity) %	19.3	(17.0)	(51.1)	(38.4)	NM	NM	NM	NM
Net debt/EV %	1.1	0.1	(1.7)	(1.4)	(3.9)	(8.5)	(11.2)	(15.0)
Capex / depreciation %	NM	NM	153.4	177.5	192.3	125.0	104.2	120.0
Capex / revenue %	7.8	7.3	4.8	2.9	1.9	1.7	3.2	3.5
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	3.2	2.9	3.2	3.4	5.2	5.1	4.7	4.6
Div. payout ratio (UBS) %	31.3	34.0	30.9	29.4	19.4	19.5	21.2	21.6
Revenues by division (€m)								
Others	27,559	28,263	32,667	39,883	51,984	60,263	62,167	67,691
Total	27,559	28,263	32,667	39,883	51,984	60,263	62,167	67,691
EBIT (UBS) by division (€m)								
Others	9,082	9,063	11,342	15,419	21,743	26,503	27,789	30,785
Total	9,082	9,063	11,342	15,419	21,743	26,503	27,789	30,785

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	52.1%
Forecast dividend yield	0.7%
Forecast stock return	52.9%
Market return assumption	7.7%
Forecast excess return	45.1%

Company Description

ASML is the leading supplier of lithography equipment for the manufacture of semiconductor devices. A Philips and ASMI spin-off established in 1984, ASML has progressively gained market share to become the leading supplier of lithography equipment to the semiconductor industry, with few able to compete at the leading edge. The company's products are critical to the ongoing advances in semiconductor technology. ASML supplies all major semiconductor manufacturers, including Samsung, TSMC, Intel and Hynix. Competition primarily comes from Nikon and Canon.

Valuation Method and Risk Statement

Macroeconomic conditions and a slowdown in end markets for semiconductors may lead to curtailment of spending on capital equipment and deferral/ postponement of orders placed with ASML. ASML will remain exposed to significant volatility given the cyclical nature of its customers' businesses. Also, the business is currently exposed to significant execution risk around its next generation technology EUV. Our valuation for ASML is derived from a DCF-based methodology with a WACC of 9% and terminal growth of 3%.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

ASML

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

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UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	54%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:**Forecast Stock Return (FSR)** is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

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UBS AG, Singapore Branch: Nicolas Gaudois. **UBS AG London Branch:** Francois-Xavier Bouvignies, Harry Blaiklock, CFA.

Company Disclosures

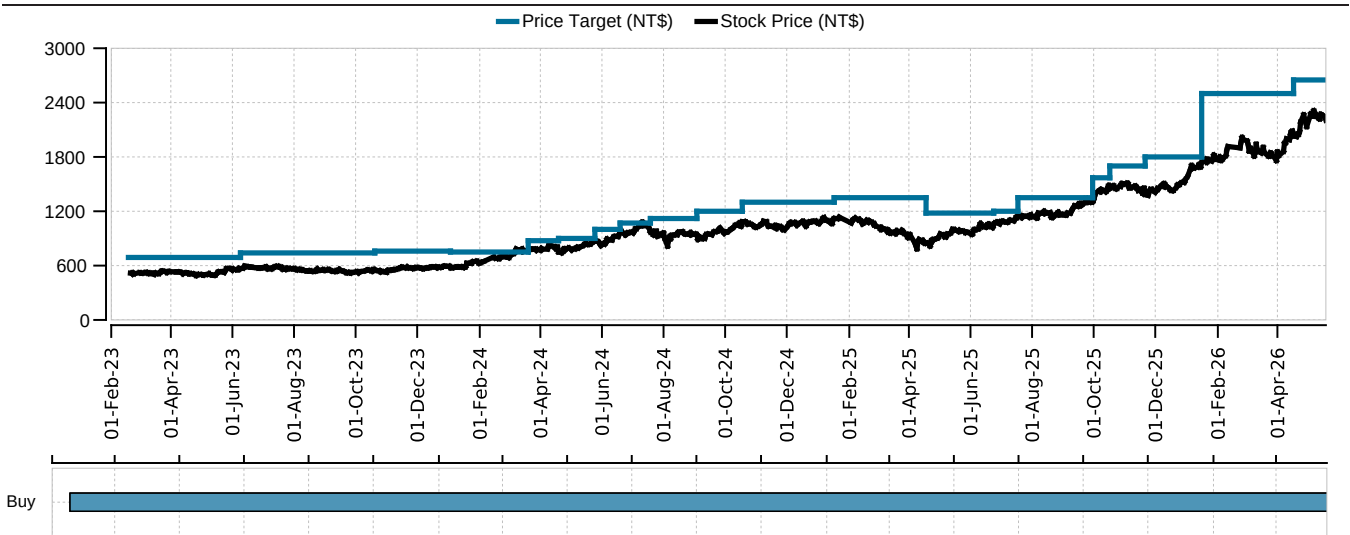
Company Name	Reuters	12-month rating	Price	Price date
ASML ^{16,28}	ASML.AS	Buy	€1,249	19 May 2026
Taiwan Semiconductor Manufacturing ^{16,28,8}	2330.TW	Buy	NT\$2,205	19 May 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

8. The equity analyst covering this company, a member of his or her team, or one of their household members has a long rights position in this company.
16. UBS Securities LLC makes a market in the securities and/or ADRs of this company.
28. UBS holds a long or short position of 0.5% or more of the listed shares of this company.

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Taiwan Semiconductor Manufacturing (NT\$)



Date	Stock Price (NT\$)	Price Target (NT\$)	Rating
2023-02-17	518.00	690.00	Buy
2023-06-08	559.00	740.00	Buy
2023-10-19	546.00	760.00	Buy
2024-01-02	593.00	750.00	Buy
2024-03-19	762.00	875.00	Buy
2024-04-18	804.00	900.00	Buy
2024-05-24	867.00	1000.00	Buy
2024-06-18	943.00	1070.00	Buy
2024-07-18	1005.00	1120.00	Buy
2024-09-02	948.00	1200.00	Buy
2024-10-17	1035.00	1300.00	Buy
2025-01-16	1105.00	1350.00	Buy
2025-04-17	847.00	1180.00	Buy
2025-06-23	1020.00	1200.00	Buy
2025-07-17	1130.00	1350.00	Buy
2025-09-29	1300.00	1570.00	Buy

Date	Stock Price (NT\$)	Price Target (NT\$)	Rating
2025-10-16	1485.00	1700.00	Buy
2025-11-20	1455.00	1800.00	Buy
2026-01-15	1690.00	2500.00	Buy
2026-04-16	2085.00	2650.00	Buy

Source: UBS Global Research; LSEG Eikon as of 19-May-2026. All prices as of local market close. Ratings as of date shown.

ASML (€)



Date	Stock Price (€)	Price Target (€)	Rating
2023-02-17	610.30	700.00	Buy
2023-06-14	681.70	780.00	Buy
2023-10-18	553.20	770.00	Buy
2024-01-04	646.40	785.00	Buy
2024-01-24	775.80	880.00	Buy
2024-04-11	909.10	1050.00	Buy
2024-09-04	736.40	900.00	Neutral
2024-10-16	633.90	710.00	Neutral
2025-01-30	706.70	740.00	Neutral
2025-04-23	580.90	610.00	Neutral
2025-07-16	625.80	660.00	Neutral
2025-09-04	647.60	750.00	Buy
2025-10-01	841.40	940.00	Buy
2025-10-15	873.00	1000.00	Buy
2025-11-25	860.30	1030.00	Buy
2026-01-20	1140.00	1400.00	Buy
2026-01-28	1194.40	1500.00	Buy
2026-04-15	1230.00	1600.00	Buy

Source: UBS Global Research; LSEG Eikon as of 19-May-2026. All prices as of local market close. Ratings as of date shown.

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